BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
REBUTTAL TESTIMONY OF SHARED SERVICES PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
REBUTTAL TESTIMONY OF SHARED SERVICES PANEL

I. INTRODUCTION

Q. Please state the names of the Shared Services Panel ("SSP" or "Panel") members.

A. Our names are La-Asia Hundley, Natalia Saldarriaga, Nicole Leon, Joan Jacobs, Venetia Lannon, and Fortunato Gulino.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. We submitted both direct and update testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") on January 31 and April 10, 2025, respectively.

Q. What is the purpose of the Panel's rebuttal testimony?

A. We are responding to the testimony of the following parties:

- Department of Public Service Staff ("Staff") Shared Services Panel ("SSSP") regarding capital adjustments to various projects and programs, and O&M expense adjustments including reductions in incremental full-time equivalents ("FTEs").
- Staff Markets and Innovation Panel ("SMIP") regarding capital adjustments to various projects and programs, and

O&M expense adjustments, including reductions in incremental FTEs.

- Staff Electric Infrastructure and Operations Panel ("SEIOP") regarding adjustments for vehicle additions under the Company's XM-2 program.
- Staff Accounting Panel ("SAP") regarding Corporate Affairs staffing.
- New York City Electric Infrastructure and Operations Panel ("NYCEIOP") regarding the Third Avenue Transportation Garage and Sherman Creek Service Center projects.
- New York City Policy Panel ("NYCPP") regarding a proposed property divestment assessment.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Do you have any exhibits that you will reference in your rebuttal testimony?

A. Yes, we are introducing Exhibit SSP-6, which contains numerous discovery responses that we refer to in our testimony, as noted below.

Company Response to Information Request:	Exhibit SSP-6 Page Number:
DPS-17-438	2
DPS-25-603	117
DPS-26-637-Supp1	124
DPS-30-737	130
DPS-31-752	136
DPS-43-910-Supp1	148
DPS-45-935-Supp1	161

Q. Is the Panel providing any other exhibits?

A. Yes, we provide additional information and documents to support projects and programs, as listed below:

Exhibit Number:	Project/Program:
SSP-7	Sherman Creek Service Center
SSP-8	Facilities Energy Efficiency
SSP-9	Business Ethics and Compliance Quality Management System

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

II. REBUTTAL

A. Introduction

Q. Have you reviewed Staff's proposed adjustments to the Company's capital and O&M funding requests?

A. Yes.

Q. What does Staff propose?

A. Multiple Staff panels, including SSSP, SMIP, SEIOP, and SAP, propose adjustments that:

- Reduce the Company's RY1 capital expenditures by approximately $180 million and reduce the Company's RY1 O&M expenses by approximately $19 million.
- Reduce the Company's RY2 capital expenditures by approximately $300 million and reduce the Company's RY2 O&M expenses by approximately $1.8 million.
- Reduce the Company's RY3 capital expenditures by approximately $290 million and reduce the Company's RY3 O&M expenses by approximately $0.3 million.
- Reduce the number of FTEs requested by the Company.

Q. Does the Company agree with any of Staff's proposed adjustments?

A. No, we do not.

Q. Will you respond to each of Staff's proposed adjustments?

A. Yes, we do so below.

Q. Have you reviewed the City of New York's ("City's") proposed adjustments to the Company's capital and O&M funding requests?

A. Yes.

Q. What does the City propose?

A. The NYCEIOP proposes adjustments for the Third Avenue Transportation Garage and Sherman Creek Service Center projects. Additionally, NYCPP proposes a new required divestment assessment for Company-owned properties.

Q. Does the Company agree with any of City's proposed adjustments?

A. No, we do not.

Q. Will you respond to each of City's proposed adjustments?

A. Yes, we do so below.

B. Adjustments to General Equipment

Q. Does Staff recommend any adjustments to the Company's capital budgets for General Equipment?

A. Yes, Staff recommends adjustments to five categories of General Equipment: (1) XM-1 Office Furniture and Equipment; (2) XM-2 Transportation Vehicles/Equipment; (3) XM-3 Stores Equipment; (4) XM-5/XM-15 Laboratory and Test Equipment;

and (5) XM-6 Tools and Work Equipment. Each is discussed below.

XM-1 Office Furniture and Equipment

Q. Please describe Staff's adjustment to the Company's XM-1 budget.

A. SSSP recommends a reduced XM-1 capital budget of $1.600 million in RY1, $1.600 million in RY2, and $1.346 million in RY3, compared to the Company's proposed budget of $3.0 million in RY1, $3.0 million in RY2, and $2.5 million in RY3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's budget methodology for the XM-1 program.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget by adjusting the formula used by the Company. Staff's adjustments included: (1) reducing the Company's FTE projection in half, from 400 to 200, based on FTE reductions made by all Staff panels; and (2) applying an average unit cost of $1.600 million.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. The XM-1 capital budget is not driven by

corporate headcount growth. This capital program is instead driven by the Company's need to optimize its existing facilities, replace obsolete furniture at the end of its life cycle, and incorporate collaborative spaces that align with the Company's evolving workplace needs. Staff's adjustments do not adequately account for these needs. The Company also disagrees with Staff's application of an average cost of $1.600 million, which Staff calculated based on Con Edison's projected "Low Ask for FTE and Annual Replacement Cost" of $1.245 million and "High Ask for FTE and Annual Replacement Cost" of $1.955 million, both provided in the Company's response to DPS-35-801. This average was calculated by Staff using projected costs in 2029 and therefore does not reflect the Company's funding needs during the rate years. If Staff had calculated an average using Con Edison's "Low" and "High" projected costs during the rate years, provided in the Company's response to DPS-35-801, the average cost would be $1.795 million per year.

XM-2 Transportation Vehicles/Equipment

Q. Do any Staff panels discuss the Company's XM-2 program.

A. Yes, three Staff panels – SSSP, SMIP, and SEIOP – discuss

the Company's XM-2 program.

Q. Please describe Staff's adjustments to the Company's XM-2 budget.

A. SSSP recommends a reduced XM-2 capital budget of $97.654 million in RY1, $111.583 million in RY2, and $115.816 million in RY3, compared to the Company's proposed budget of $158.198 million in RY1, $203.056 million in RY2, and $274.885 million in RY3.

Q. How does Staff present its recommended adjustments for the XM-2 program?

A. SSSP groups its adjustments in three main areas: (1) vehicle replacements; (2) vehicle additions; and (3) emergency mobile generators. Each is discussed below.

Q. Please describe Staff's recommended adjustments for vehicle replacements.

A. For vehicle replacements, SSSP recommends a reduced capital budget of $88.519 million in RY1, $96.920 million in RY2, and $101.322 million in RY3, compared to the Company's proposed budget of $122.917 million in RY1, $144.695 million in RY2, and $154.688 million in RY3.

Q. Please describe the basis of Staff's recommended adjustments.

A. SSSP disagreed with the Company's proposed spending and calculated its own baseline budget for each RY using a five-year historical average, adjusted for inflation. Staff then applied a 2/3 adjustment to the difference between its baseline budget and the Company's funding request in each RY. These adjustments result in capital reductions of $34.398 million in RY1, $47.775 million in RY2, and $53.366 million in RY3.

Q. Does the Company agree with Staff's recommended adjustments for vehicle replacements?

A. No, we do not. Staff's reliance on a five-year historical average does not adequately reflect the Company's capital needs during the rate years and does not align with industry best practice, which focuses on lifecycle analysis to determine vehicle replacements. Lifecycle analysis is the preferred approach because it considers the increasing maintenance costs per mile and decreasing residual value of each asset as vehicles get older. Vehicle replacements based on lifecycle analysis, as proposed in the XM-2 funding request, will allow the Company to optimize the total cost of ownership for each vehicle.

In addition, the lifecycle method provides several other

indirect benefits, including reduced part and service obsolescence issues, improved fleet availability and reliability, reduced operational impact from vehicle breakdowns/downtime, and increased access to enhanced safety features and the latest vehicle technology available.

Q. Please describe Staff's recommended adjustments for vehicle additions.

A. For vehicle additions, SSSP recommends a reduced capital budget of $8.989 million in RY1, $4.154 million in RY2, and $3.285 million in RY3, compared to the Company's proposed budget of $21.281 million in RY1, $40.861 million in RY2, and $102.697 million in RY3.

Q. Please describe the basis of Staff's recommended adjustments.

A. SSSP disagreed with the Company's proposed spending and calculated its own recommended budget for vehicle additions consistent with FTE and vehicle reductions made by several Staff panels. For instance, as noted by SEIOP, Staff's recommended budget for vehicle additions reflects the elimination of 269 vehicles requested for Electric Operations, 13 vehicles requested for Transmission

Operations, and nine vehicles requested for Construction. In addition, as noted by SSSP, Staff's recommended budget for vehicle additions reflects the elimination of 12 vehicles requested for Stores Operations and 10 vehicles requested for Environment, Health & Safety ("EH&S"). These adjustments result in capital reductions of $1.745 million in RY1, $0.314 million in RY2, and $0.500 million in RY3.

Q. Does the Company agree with Staff's recommended adjustments for vehicle additions, including their elimination of vehicles requested for Electric Operations, Transmission Operations, and Construction?

A. No, we do not. The incremental FTEs and vehicle additions requested by Con Edison are needed to support planned capital work and system maintenance across the Company during the rate years. Con Edison will not be able to execute these workplans without the requested incremental FTEs and vehicle additions.

Q. Does the Company agree with Staff's recommended adjustments to vehicle additions for Stores Operations?

A. No, we do not. For Store Operations, Staff proposes to eliminate 12 requested vehicle additions, including one tractor yard switcher and 11 forklifts. The Company

disagrees with Staff's recommendation because these vehicles are needed by Stores Operations to manage and handle the Company's diverse material needs across 14 regional storeroom locations. These investments, especially the requested tractor yard switchers and forklifts, are vital for operations including employee safety. Without these additional vehicles, Stores Operations will be forced to rely on temporary rentals when existing vehicles are undergoing repairs. This will result in higher costs and is not a sustainable long-term solution.

Q. Does the Company agree with Staff's recommended adjustments to vehicle additions for EH&S?

A. No, we do not. For EH&S, Staff proposes to eliminate 10 light-duty supervisor vehicles. The Company disagrees with Staff's adjustment because these vehicles are needed for the 14 incremental FTEs that will be added in the EH&S Operations Support department, which were recommended for approval by Staff. These new EH&S employees will not be able to perform their job functions without the 10 requested vehicle additions.

Q. Please describe Staff's recommended adjustments for mobile generators.

A. For mobile generators, SSSP recommends a reduced capital budget of $0.000 million in RY1, $10.500 million in RY2, and $10.500 million in RY3, compared to the Company's proposed budget of $14.000 million in RY1, $17.500 million in RY2, and $17.500 million in RY3.

Q. Please describe the basis of Staff's recommended adjustments.

A. SSSP contends that the maintenance costs for the Company's aging generator fleet are not yet significant. On this basis, and for affordability reasons, SSSP recommends elimination of funding for new generators in RY1, and reduced funding for the purchase of three of five new generators requested by the Company in RY2 and RY3. These adjustments result in capital reductions of $14 million in RY1, $7 million in RY2, and $7 million in RY3.

Q. Does the Company agree with Staff's recommended adjustments for emergency mobile generators?

A. No, we do not. As they continue to age, the Company's emergency mobile generators will become more costly to repair and less reliable when they are deployed to support customers during storms and extreme heat events. Additionally, with its older generators, the Company is

encountering increased supply chain issues and long lead times with obtaining necessary parts and components. These issues may result in generators not being available to support customers, when they are needed. For these reasons, the additional generator replacements requested by the Company should be approved.

Q. Does the Company have any other concerns with Staff's proposed adjustments for emergency mobile generators?

A. Yes, SEIOP proposes that the Company use emergency mobile generators during peak loads as an alternative to several projects proposed by the Company. Staff's proposal would reduce the number of available emergency generators at times when they are more likely to be needed. For this reason, Staff's proposed adjustments related to emergency mobile generators should be rejected.

Q. Does Staff propose any adjustments to the incremental FTEs requested for Automotive Engineering and Garage Maintenance?

A. Yes. SSSP proposes to eliminate 12 of 16 FTEs requested by the Company.

Q. Please describe the basis of Staff's recommended adjustments.

A. According to SSSP, their FTE reductions better reflect the Company's support needs given Staff's recommended vehicle adjustments under the XM-2 program.

Q. Does the Company agree with Staff's recommended FTE adjustments?

A. No, we do not, for two reasons.

First, Staff's proposed adjustments do not correspond to the Company's FTE request. In the SSP FTE Summary, provided in Exhibit SSP-3-UpD, the Company requested a total of 22 incremental FTEs to support the XM-2 program. These 22 FTEs are allocated to three programs - (1) XM-2, (2) EV Charging Expansion, and (3) Fleet Management Program (FleetWave) – as follows:

- XM-2:
  - 3 Sr. Specialists
  - 11 Auto Mechanic A
- EV Charging Expansion:
  - 3 Sr. Specialists
  - 2 Auto Mechanic A
- Fleet Management Program (Fleetwave):
  - 3 Sr. Specialists

SSSP proposes to eliminate 12 of 16 FTEs purportedly

requested by the Company to support Automotive Engineering. These 12 FTEs include nine Sr. Specialists and three Auto Mechanics.

Additionally, in testimony, SMIP proposes to eliminate two incremental FTEs requested by the Company in RY1 to support the EV Charging Expansion program. SMIP's testimony does not discuss FTE adjustments in RY2 or RY3. Exhibit SMIP-5, however, appears to show SMIP's proposal to eliminate 8 of 10 FTEs purportedly requested by the Company across the three rate years to support the EV Charging Expansion program. When added together, SSSP's and SMIP's proposed adjustments do not correlate to the Company's FTE request. Second, and more importantly, Con Edison disagrees with Staff's proposed adjustment, reducing the Company's total XM-2 staffing request to four FTEs (presumably all Auto Mechanics). This level of incremental staffing is not sufficient to meet the Company's growing needs under the XM-2 program. The existing employees assigned to support the XM-2 program are at capacity and cannot handle the Company's growing needs without regularly working overtime, which is not a sustainable long-term solution. The additional FTEs requested by the Company are needed to

support growing activity in numerous areas, including vehicle specification/purchasing, data analytics, replacement strategy planning/executing, maintenance/repairs, quality assurance and control, and fueling infrastructure maintenance/repairs.

XM-3 Stores Equipment

Q. Please describe Staff's adjustment to the Company's XM-3 budget.

A. SSSP recommends a reduced XM-3 capital budget of $0.984 million in RY1, $1.007 million in RY2, and $1.0029 million in RY3, compared to the Company's proposed budget of $2.440 million in RY1, $1.961 million in RY2, and $1.334 million in RY3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's budget methodology for the XM-3 program.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget using a five-year historical average, adjusted for inflation.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Staff's proposed budget, based on a mechanical five-year historical average, does not reflect

current circumstances or Con Edison's funding requirements during the rate years. In addition, Staff's proposed budget will not adequately support the Company's plan to optimize its existing warehouse and storeroom spaces. Without adequate XM-3 funding, warehouse operations will be impacted, limiting the Company's ability to support critical work.

XM-5 Laboratory and Test Equipment

Q. Please describe Staff's adjustment to the Company's XM-5 budget.

A. SSSP recommends a reduced XM-5 capital budget of $6.759 million in RY1, $6.921 million in RY2, and $7.073 million in RY3, compared to the Company's proposed budget of $7.178 million in RY1, $7.226 million in RY2, and $7.244 million in RY3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's budget methodology for the XM-5 program.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget using a five-year historical average, adjusted for inflation.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Staff's proposed budget, based on a mechanical five-year historical average, does not reflect current circumstances or Con Edison's funding requirements during the rate years. The Company's XM-5 funding request is needed for the purchase of crucial testing equipment to support field operations, including employee safety. Without adequate XM-5 funding, field operations will be impacted, limiting the Company's ability to support critical work.

XM-6 Tools and Work Equipment

Q. Please describe Staff's adjustment to the Company's XM-6 budget.

A. SSSP recommends a reduced XM-6 capital budget of $6.989 million in RY1, $7.157 million in RY2, and $7.314 million in RY3, compared to the Company's proposed budget of $10.012 million in RY1, $14.014 million in RY2, and $10.652 million in RY3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's budget methodology for the XM-6 program.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget using a five-

year historical average, adjusted for inflation.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Staff's proposed budget, based on a mechanical five-year historical average, does not reflect current circumstances or Con Edison's funding requirements during the rate years. The XM-6 budget category provides tools needed for daily construction activities in the field and for vehicle maintenance performed in Company garages. Without adequate XM-6 funding, field and garage operations will be impacted, limiting the Company's ability to support critical work including infrastructure projects and vehicle maintenance.

C. Adjustments to Human Resources

Q. Does Staff recommend any adjustments to the Company's funding requests for Human Resources ("HR")?

A. Yes.

Q. Please describe Staff's proposed adjustments.

A. SSSP recommends funding for two of three incremental FTEs requested by the Company to support HR. These two incremental FTEs consist of one Department Manager and one Department Assistant, both to be hired in RY1. Staff's adjustment eliminates one incremental FTE proposed by the

Company to serve as a Specialist – Registered Dietitian in HR. The Company proposed hiring this FTE in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that the Specialist – Registered Dietitian FTE should not be funded because it does not provide quantifiable or demonstrable benefits to ratepayers in terms of financial impact, service reliability, environmental considerations, or customer service improvements.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The proposed Specialist – Registered Dietitian will play an important role in guiding employees towards healthier eating habits. This guidance will enhance the overall health and well-being of the Company's workforce and thereby improve employee presenteeism and productivity. Healthier and more productive employees will benefit the Company's customers.

D. Adjustments to Learning & Inclusion

Q. Does Staff recommend any adjustments to the Company's funding requests for Learning & Inclusion ("L&I")?

A. Yes. SSSP proposes adjustments in three areas of L&I: (1) Instructor FTEs for the Learning Center ("TLC"); (2) Leadership Development Program ("LDP") FTEs; (3) Office of Diversity & Inclusion ("ODI") FTEs. Each is discussed below.

Q. Please describe Staff's proposed adjustment for TLC Instructor FTEs.

A. SSSP recommends funding for eleven of sixteen incremental FTEs to serve as instructors at TLC. Staff's adjustment eliminates five incremental TLC instructor FTEs, all proposed to be hired in RY1.

Q. What is the basis for Staff's recommended adjustment?

A. According to Staff, this adjustment is based on other significant reductions to the Company's overall staffing request.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. As stated above, the Company does not agree with the significant staffing reductions proposed by Staff. The incremental FTEs requested by Con Edison are needed to support planned capital work and system maintenance across the Company during the rate years. Without the additional TLC instructors, the Company will be unable to adequately

train its growing workforce or fully implement its workplans.

Q. Please describe Staff's proposed adjustments for LDP FTEs.

A. SSSP recommends funding for one of five incremental FTEs requested by the Company as part of its planned LDP cohort expansion. Staff's adjustment eliminates four incremental LDP FTEs, all proposed to be hired in RY1.

Q. What is the basis for Staff's recommended adjustment?

A. According to Staff, this adjustment is based on other significant reductions to the Company's overall staffing request.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Con Edison's LDP is a rotational early career leadership program for recent college graduates, promoting critical thinking and communication. Developing early career talent involves multiple years of learning and experience for individuals to gain the necessary experience, knowledge, and skills to develop and assume advanced leadership positions. All five requested FTEs need to be hired in RY1 to provide the Company with an adequate pipeline of future managers and leaders to navigate the clean energy transition.

Q. Please describe Staff's proposed adjustments for ODI FTEs.

A. SSSP recommends funding for one of three incremental FTEs requested by the Company to support ODI. The one FTE recommended for funding by Staff will serve as a Senior Specialist – Reasonable Accommodations Coordinator, to be hired in RY1. Staff's adjustment eliminates two incremental ODI FTEs, including one Senior Specialist and one Associate in the Office of Employee Engagement. The Company proposed hiring these two FTEs in RY1.

Q. What is the basis for Staff's recommended adjustment?

A. According to Staff, the Company has not demonstrated why the workload in ODI necessitates the two additional FTEs.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. In March 2025, Con Edison entered into a settlement agreement with the New York State Attorney General's Office. As a result, the Company has made changes to ODI (now re-named "EEO and Workplace Culture") and will need the additional FTEs to provide additional support for meeting the needs of union women in field positions. Women often face unique challenges and barriers when entering traditionally male-dominated fields. For this reason, hiring the two additional FTEs to support women in non-

traditional roles is essential for fostering a more inclusive workforce. These additional FTEs will provide program development and targeted mentorship to women throughout the Company to address their specific needs and obstacles. The Company needs the Senior Specialist and Associate FTEs to provide these functions, which will promote a healthy work environment that benefits employees and customers.

E. Adjustments to Facilities & Field Services

Q. Does Staff recommend any adjustments to projects and programs proposed by Facilities & Field Services?

A. Yes, Staff recommends adjustments to thirteen projects and programs: (1) Sherman Creek Service Center project; (2) Worth Street Master Plan project; (3) 30 Flatbush Lease Exit Strategy project; (4) Critical Infrastructure – Short-Term Priority Projects and Programs; (5) Service Center Renovation and Storeroom Modernization program; (6) Facilities Energy Efficiency program; (7) Third Avenue Garage Infrastructure Improvements project; (8) Compressed Natural Gas ("CNG") Fuel Station Decommissioning project; (9) Transportation Garage Modernization project; (10) Liquid Fuel Station Replacement program; (11) Electric

Vehicle ("EV") Charging Expansion & Clean Energy Support program; (12) Janitorial Services Contractor costs; and (13) Vendor Management program. Each is discussed below.

Sherman Creek Service Center Project

Q. Please describe Staff's adjustments to the Sherman Creek Service Center project.

A. SSSP recommends a reduced capital budget of $11.400 million in RY1, $11.683 million in RY2, and $89.296 million in RY3, compared to the Company's proposed budget of $15.000 million in RY1, $70.772 million in RY2, and $92.728 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff calculated its own recommended budget by eliminating $3.500 million in funding budgeted by the Company for design drawings in RY1. According to Staff, this funding is unnecessary. In developing its recommended budget, Staff also pushed the construction start date out from January 2027 to the third quarter of 2027, resulting in other corresponding project schedule and cashflow adjustments in RY2 and RY3. These cashflow adjustments include reductions

of $59.079 million in RY2 and $3.308 million in RY3. Staff Exhibit SSSP-2, however, shows a $3.432 million reduction in RY3. Below we reference the $3.432 million reduction since that is the higher amount.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The $3.5 million allowance related to design drawings in RY1 is for 5% escalation, not contingency. This 5% escalation allowance is reasonable given the ongoing price fluctuations and supply chain disruptions, together with general economic uncertainty. This escalation allowance is also in line with industry trends reflected in data from the Bureau of Labor Statistics. Such data shows that the five-year average annual escalation rate for construction labor in New York City was 2.9% as of December 31, 2024, while the five-year average annual escalation rate for construction materials was 2.8% over the same time period. A summary of these statistics is provided in Exhibit SSP-7. The Company's 5% escalation allowance is therefore reasonable and should not be eliminated.

Q. Does the Company agree with Staff's adjustments associated with pushing the construction start date out to at least

the third quarter of 2027?

A. No, we do not. These Staff adjustments are unnecessary because the Company already plans to begin major building construction in 2028, not 2027. In its response to DPS-25-622, the Company included a project milestone schedule showing that pre-construction activity, including site preparation and earthwork, will be completed in 2027, in advance of major building construction activities. Consistent with this project schedule, the Company plans to secure permits and approvals and purchase major long-lead systems and equipment in 2027. These components will include generators, elevators, electric vehicle charging equipment, and pre-cast concrete structures. Purchasing these components in 2027 will help make sure they are available when needed during major building construction, which the Company plans to begin in the first quarter of 2028.

For these reasons, Staff's adjustments associated with pushing the construction start date out to at least the third quarter of 2027 are unnecessary because Staff's concerns regarding construction timing are already addressed by the Company's project plan and schedule. As

such, Staff's downward adjustments of $59.079 million in RY2 and $3.432 million in RY3 should be rejected.

Q. Do any of the other parties propose adjustments to the Sherman Creek project?

A. Yes, the NYCEIOP recommends deferral of an unspecified portion of the proposed project expenditures from RY1 to RY2, unless the Company can provide detailed project management plans, permitting timelines, and scheduling documents to justify the increase in project expenditures from RY1 to RY2.

Q. What is the basis for NYCEIOP's recommended adjustment?

A. NYCEIOP contends that the Company's funding request lacks sufficient details on permitting status, contractor mobilization, and land acquisition milestones and therefore does not support the Company's proposed increase in project expenditures from RY1 to RY2.

Q. Does the Company agree with NYCEIOP's recommended adjustment?

A. No, we do not. The City's claims are unsupported. The Company provided detailed project timeline and cost information in its response to DPS-25-622.

Worth Street Master Plan Project

Q. Please describe Staff's adjustments to the Worth Street Master Plan project.

A. SSSP recommends a reduced capital budget of $10.700 million in RY1, $9.260 million in RY2, and $5.598 million in RY3, compared to the Company's proposed budget of $20.000 million in RY1, $30.000 million in RY2, and $26.300 million in RY3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff calculated its own recommended budget by eliminating $2.700 million and $2.474 million in design document and contingency fees budgeted by the Company in RY2 and RY3, respectively. According to Staff, these fees are unnecessary. In developing its recommended budget, Staff also adjusted the Company's proposed construction spending based on anticipated completion of design drawings in the fourth quarter of 2026, resulting in other corresponding project schedule and cashflow adjustments in RY2 and RY3.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. Employees are currently operating out of

temporary facilities pending the completion of the new service center building. Worth Street is an increasingly important operational hub for Westchester and will also provide additional capacity to support the Company's capital investment plan during the rate years and beyond. It is important to note that the City of Yonkers granted approval for the use of temporary office and bathroom accommodations based on the understanding that the facilities were only required as an interim measure until the new service center is complete. The ongoing costs to rent and operate the temporary facilities are significant. Upon completion of the new facility, the Company will be required to remove all temporary accommodations in accordance with City code.

The $9.3 million requested by the Company for construction in RY1 reflect a phased approach to minimize disruption to ongoing operations at Worth Street. This includes various pre-construction activities, including the advance purchase of long-lead equipment, relocating site utilities to a new utility structure in advance of demolishing the existing service center building, and other site preparation in advance of the main construction work. Therefore, in RY1,

the Company will incur construction fees in support of these activities.

Following completion of all pre-construction work in RY1, the Company will begin the construction phase of the project in RY2. The construction phase will involve mobilization, sitework, foundations, and building essential infrastructure for the site and the new service center. The construction work will also be phased. The Company will need funding for design and engineering fees and for design contingency due to the complexity of construction phasing, which may potentially involve multiple design/construction packages. The design contingency will cover unforeseen conditions, potential material delays, and any other unexpected costs that may arise as the design is fully developed. The design and engineering fees are required for contract administration support during the construction and close out phases of the project.

The Company will also need funding for design and engineering fees and for design and construction contingency in RY3. These design and construction contingencies are necessary to account for any unforeseen work required to complete the project including costs to

successfully commission and hand the facility over to operations.

30 Flatbush Lease Exit Strategy Project

Q. Please describe Staff's adjustments to the 30 Flatbush Lease Exit Strategy project.

A. SSSP recommends a reduced capital budget of $38.601 million in RY1, and $12.319 million in RY2, compared to the Company's proposed budget of $47.000 million in RY1, and $15.000 million in RY2.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff calculated its own recommended budget by lowering the contingency factor for the Astoria Building 136 renovations from 15 percent to 5 percent. According to Staff, the Company did not provide sufficient reasoning or justification to support the 15 percent contingency fee and should, therefore, reduce the contingency fee to 5 percent, consistent with other projects. In developing its recommended budget, Staff also reduced capital spending in RY1 and RY2 based on an $11.079 million difference between the Company's funding request and the project estimates

provided to Staff. Staff applied this $11.079 million reduction proportionally to the level of capital spending proposed by the Company in RY1 and RY2.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. A minimum 15% contingency is required for the gut renovation of Astoria Building 136, which will involve construction of new critical facilities with complex IT, communications, HVAC, audio-visual, and technical security and ergonomic requirements. These elements of the project will include potential unforeseen technical challenges that must be managed within a tight timeline in order to complete the construction in advance of the anticipated lease expiration in October 2027. The 15% contingency allowance is reasonable and aligns with industry best practices for projects of this scale and complexity. This contingency will provide the budget flexibility needed to address unexpected challenges without jeopardizing successful project completion. Moreover, the 15% contingency is needed to account for ongoing supply chain constraints for critical equipment and construction services until competitive bids are obtained.

Additionally, the cost estimates provided in the Company's response to DPS-28-681 — totaling $78.239 million — cover only three receiving locations: Astoria Building 136, 3rd Avenue Yard, and 4 Irving Place. These figures do not account for other receiving locations including the Rye Headquarters, among other sites, all of which are still in the design development phase. Thus, the $11.079 million difference in funding noted by Staff is an integral part of the project scope for these other receiving locations and cannot be eliminated.

Q. Does Staff recommend any other adjustments to the Company's funding requests associated with the project?

A. Yes, SSSP recommends a reduced O&M budget of $4.552 million in RY1, as compared to the Company's proposed budget of $7.250 million in RY1. This $2.698 million O&M reduction does not match the $0.750 million downward adjustment in RY1 reflected in the Staff Exhibit SAP-3.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's O&M budget associated with this project.

Q. How did Staff develop its proposed O&M budget?

A. Staff calculated its own recommended budget by reducing

projected O&M expenses in RY1 based on a purported $2.698 difference between the Company's funding request and the estimate provided to Staff in response to DPS-28-681, Attachment 1.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. The O&M costs related to the 30 Flatbush project as indicated in the Company's program change for the "30 Flatbush Lease Exit" begins with the Shared Services test year spend for building lease and property taxes. The incremental program change request is related to moving costs, which will be required to decommission and vacate the leased space as well as relocate employees to other Company facilities. The estimated moving cost is $750,000 in RY1 and $500,000 in RY2.

Critical Infrastructure – Short-Term Priority Projects and Programs

Q. Please describe Staff's adjustments to the Critical Infrastructure – Short-Term Priority Projects and Programs.

A. SSSP recommends a reduced capital budget of $15.863 million in RY1, $16.143 million in RY2, and $16.601 million in RY3, compared to the Company's proposed budget of $17.000 million in RY1, $25.000 million in RY2, and $25.000 million

in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff calculated its own recommended budget using a five-year historical average, adjusted for inflation.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. Staff's proposed budget, based on a mechanical five-year historical average, is not representative of the capital work completed under this program during normal operations. This is because the work restrictions during the COVID-19 pandemic severely limited the capital project activities under this program, skewing the five-year historical average. As such, Staff's reliance on a five-year historical average is not appropriate and does not adequately reflect the Company's funding requirements during the rate years.

Q. Did Staff recommend any other adjustments to the Company's funding requests associated with the project?

A. Yes, SSSP recommends a reduced O&M budget of $0.800 million in each RY, as compared to the Company's proposed budget of $2.160 million in each RY.

Q. What is the basis for Staff's recommended adjustment?

A. Staff disagreed with the Company's O&M budget associated with this project.

Q. How did Staff develop its proposed O&M budget?

A. According to Staff, the Company did not provide details on how it calculated its projected O&M expenses associated with this project. On this basis, Staff recommends a budget matching the O&M expenses in the Company's historic test year.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. The Company's funding request is to support emergent critical infrastructure repair work charged as maintenance associated with capital ("MAC"). This work primarily falls under the categories of structure/leaks, façade, and embedded system upgrades. The Company has seen an increase in MAC costs under this program over the last several years. The O&M funding requested by the Company is needed to support these costs, which are projected based on engineering estimates.

Facilities Service Center Renovation and Storeroom Modernization Program

Q. Please describe Staff's adjustments to the Facilities Service Center and Storeroom Modernization program.

A. SSSP recommends a reduced capital budget of $7.757 million in RY1, $7.757 million in RY2, and $7.757 million in RY3, compared to the Company's proposed budget of $10.000 million in RY1, $10.000 million in RY2, and $10.000 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's program budget.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget by lowering the Company's projected unit cost from $1,000/sq. ft. to $944/sq. ft. based on its review of historical project cost information. In developing its recommended budget, Staff also lowered the Company's annual renovation target from 10,000 sq. ft. to 8,219.25 sq. ft. based on its review of the program white paper.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. This program includes renovation of both

service center functional areas (e.g., offices, muster spaces, etc.) and storeroom spaces. Staff's proposed reduction of the annual square footage target is not correct because the 32,877 square feet referenced by Staff is only for the approximate area of storeroom space in Con Edison's portfolio. That number, which was included in the program white paper for informational purposes only, does not account for the service center functional areas that are also part of this program.

During the rate years, the Company is planning to renovate both storeroom spaces and service center functional areas at several Company locations, including Astoria, College Point, Eastview, and Rye. These renovation projects are currently in various stages of development and design. As explained in the Company's response to DPS-28-701, the annual target for renovating these storeroom and service center functional areas is 10,000 square feet per year. This annual target is appropriate and should remain unchanged.

In addition, the Company does not agree with Staff's proposed reduction of the estimated renovation cost per square foot from $1,000/sq. ft. to $944/sq. ft. Con

Edison's estimated renovation cost of $1,000/sq. ft. is based on historical experience and costs, and reflects that the proposed projects are currently in early design development. Thus, the Company's estimated renovation cost of $1,000/sq. ft. reasonably accounts for potential unknown field conditions and escalation.

Facilities Energy Efficiency Program

Q. Please describe Staff's adjustments to the Facilities Energy Efficiency program.

A. SSSP recommends a reduced capital budget of $28.512 million in RY1, $52.500 million in RY2, and $52.500 million in RY3, compared to the Company's proposed budget of $35.300 million in RY1, $65.000 million in RY2, and $65.000 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's program budget.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own recommended budget by lowering the program contingency factor from 30 percent to 5 percent, consistent with the contingency factor recommended by Staff for the Company's 30 Flatbush Avenue Lease Exit Strategy project.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. The contingency factor for this program is based on the Company's Estimating Cost Contingency Guidelines, a copy of which is provided in Exhibit SSP-8. For this program, a 30% contingency factor was applied, consistent with these guidelines, because the scope of work for the projects within the program are currently at a conceptual level. The 30% contingency will allow the program to absorb unexpected costs and minimize impact on the overall budget.

As the multiple projects progress, there may be changes in scope or unforeseen requirements that could impact costs. Complex engineering projects often involve intricate designs and innovative solutions (i.e., higher risks), which can lead to unforeseen technical challenges and additional costs. Prices for materials and labor can vary significantly due to market conditions, supply chain disruptions, and economic factors. The 30% contingency factor accounts for these potential fluctuations. For these reasons, the 30% contingency factor is appropriate for this program and should not align with Staff's recommended contingency factor of 5% for the 30 Flatbush Avenue Lease

Exit Strategy project.

Third Avenue Garage Infrastructure Improvements Project

Q. Please describe Staff's adjustments to the Third Avenue Garage Infrastructure Improvements project.

A. SSSP recommends a reduced capital budget of $3.000 million in RY1, $10.600 million in RY2, and $0.000 million in RY3, compared to the Company's proposed budget of $3.000 million in RY1, $15.000 million in RY2, and $6.000 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget, including the Company's plan to construct a new building instead of repairing the existing building truss system.

Q. How did Staff develop its proposed budget for this project?

A. Staff calculated its own recommended budget reflecting repair of the existing roof truss system, at an approximate cost of $0.666 million per truss for 16 trusses. According to Staff, repairing the trusses will allow the Company to return the existing building back into operation, and will result in a total repair cost of $10.600 million, which is $13.400 million less than the Company's proposed budget to construct a new facility.

Q. Does the Company agree with Staff's recommended

adjustments?

A. No, we do not. Demolition of the existing Transportation Garage building was approved by the Commission in the Company's current rate plan (Cases 22-E-0064 & 22-G-0065). As such, the Company is currently more than half-way complete with pre-demolition work and expects to receive the demolition permit next month, in July 2025. On this basis, the Company is planning to begin full demolition in mid-July 2025.

To date, the Company has spent $2.3 million to complete pre-demolition activities, including relocation of essential gas, electric, water, and sewer infrastructure. This work also includes relocation of the EV charging infrastructure at the site. Moreover, the Company has begun relocating the splice room from the Transportation Garage to the Stores building. Based on the Commission's prior approval, Con Edison has invested significant time, funding, and resources into the demolition of the Transportation Garage building, so that a new facility can be constructed.

In the Company's response to DPS-20-521, Con Edison provided a thorough justification for replacing the

existing Transportation Garage, rather than pursuing repairs. The Company's analysis addresses both structural and operational factors, concluding that replacement is the more appropriate and cost-effective option.

The Company disagrees with Staff's recommendation to change courses now. Doing so will not reduce project costs. In fact, changing courses now will waste the $2.3 million invested by Con Edison in the demolition project to date. For these reasons, Staff's proposed adjustment should be rejected.

Q. Do any of the other parties propose adjustments to the Third Avenue Garage Infrastructure Improvements project?

A. Yes, without providing specific proposed adjustments, the NYCEIOP recommends that the Company take a more cautious and phased funding approach to ensure that capital investments are timed appropriately and aligned with market conditions.

Q. What is the basis for NYCEIOP's recommended adjustment?

A. NYCEIOP notes that the Company proposes spending $3 million in 2025 and $15 million in RY1. NYCEIOP then claims that the Company does not provide any facility engineering plans, site assessments, or environmental review documents

to demonstrate that such a significant amount of work can be scoped, permitted, and executed in RY1. According to NYCEIOP, the Company's justification appears to rest on load growth assumptions that do not fully account for current market signals, specifically a softening in real estate and infrastructure development and a slowing labor market.

Q. Does the Company agree with NYCEIOP's recommended adjustment?

A. No, we do not. The engineering plans are not yet available because the project is currently in the planning and design phase. The Company anticipates completing the engineering design by the end of 2025, with construction beginning in RY1.

CNG Fuel Station Decommissioning Project

Q. Please describe Staff's adjustments to the CNG Fuel Station Decommissioning project.

A. SSSP recommends a reduced capital budget of $0.680 million in RY1, $1.056 million in RY2, and $0.000 million in RY3, compared to the Company's proposed budget of $1.020 million in RY1, $1.056 million in RY2, and $0.730 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff determined that three of the eight existing CNG stations – Astoria, Eastview, and Rye – have not yet reached the end of their lifecycle and should therefore not be decommissioned. On this basis, Staff calculated its own recommended budget reflecting decommissioning of only five of the eight existing CNG stations – Third Avenue, W. 28th Street, College Point, Van Nest, and E. 16th Street.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. As of June 2025, Con Edison has 35 remaining CNG vehicles, all of which are scheduled to be replaced by non-CNG vehicles within the next 12 months. With no Company fleet demand and minimal external customer usage, the costs to operate and maintain these CNG stations will greatly increase per unit of dispensed CNG fuel. Continuing to operate the CNG stations, which will no longer be used by Con Edison's fleet, will create unnecessary O&M costs, including required permitting, registration, and routine inspection costs. These costs are not justified by the usage of the Astoria, Eastview, and Rye CNG stations.

Moreover, these O&M costs would need to be added to the Company's revenue requirement if funding is not provided to decommission the Astoria, Eastview, and Rye CNG stations.

Transportation Garage Modernization Project

Q. Please describe Staff's adjustments to the Transportation Garage Modernization project.

A. SSSP recommends a reduced capital budget of $0.000 million in RY1, $2.371 million in RY2, and $2.124 million in RY3, compared to the Company's proposed budget of $5.000 million in RY1, $5.000 million in RY2, and $5.000 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. According to Staff, the Company did not provide adequate supporting information, including salary and consulting advisory cost estimates. On this basis, Staff calculated its own budget reflecting removal of all proposed funding in RY1 and half of the proposed funding in RY2 and RY3.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The current garages were neither designed nor built for their current purpose and therefore need to

be modernized to support safe and efficient operations. In response to DPS-40-877, the Company provided a spreadsheet (Attachment 3) with a detailed project cost estimate, including anticipated salary and consulting advisory costs, broken down by month and rate year. As explained in the response to DPS-40-877, the Company plans to complete an assessment between January and December 2026, while implementing some limited scope/high-priority improvements in parallel. The remaining garage modernization improvements identified through the assessment will then be implemented between January 2027 and December 2028. To support this process, the Company will engage a consulting advisor to provide procurement support and manage day-to-day project implementation vehicle and EV technology activities. The consulting advisor will also provide guidance and recommendations focused on vehicle and EV technology developments. These consulting advisory services are reflected in the cost estimate provided by the Company. The Company will also leverage internal personnel to serve as subject matter experts, monitor contractor performance, and generally support consulting advisory resources to

complete activities that must be undertaken by Company employees (e.g., creating and approving purchase orders).

Liquid Fuel Station Replacement Program

Q. Please describe Staff's adjustments to the Liquid Fuel Station Replacement program.

A. SSSP recommends a reduced capital budget of $5.000 million in RY1, $0.000 million in RY2, and $5.000 million in RY3, compared to the Company's proposed budget of $5.000 million in RY1, $5.000 million in RY2, and $5.000 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's program budget.

Q. How did Staff develop its proposed budget for this program?

A. Staff calculated its own budget reflecting removal of funding in RY2 for the proposed replacement of the Van Nest fueling station. According to Staff, the Company submitted documentation in response to DPS-26-638 indicating that the underground tank and containment system at the Van Nest fueling station do not pose any safety hazards and therefore do not require replacement.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The Van Nest fuel station dispenses approximately 400,000 gallons of fuel per year on average, mainly supporting Company field operations in The Bronx. For operational continuity, the Company must have access to fuel in every situation, including during potential supply constraints, storms, and emergencies. As such, the Company needs to maintain reliable equipment and systems at all its in-house fueling stations, including Van Nest. Interestingly, the report cited by Staff – purportedly indicating that the Van Nest station does not pose any safety hazard regarding the underground tank and containment system – was issued in August 2012, nearly thirteen years ago. At that time, the underground storage tank system at Van Nest was within its 30-year useful life. This tank system, however, will soon surpass its 30-year useful life in June 2026. Staff's reliance on this thirteen-year-old report is questionable.

In addition, the manufacturer of the underground tanks at Van Nest (Mohawk) was purchased over the years, with the buyer subsequently closing its tank division. As a result, there is no longer a manufacturer warranty on the underground storage tanks at Van Nest. In the event of a

tank failure, Con Edison would have no recourse against the manufacturer and would have to assume full liability. Thus, continuing to operate the Van Nest fueling station without replacing the aging underground tanks and components will increase operational risk and potential liability. For these reasons, Staff's proposed adjustments should be rejected.

EV Charging Expansion & Clean Energy Support Program

Q. Please describe Staff's adjustments to the EV Charging Expansion & Clean Energy Support program.

A. SMIP recommends a reduced capital budget of $7.238 million in RY1, $8.034 million in RY2, and $8.917 million in RY3, compared to the Company's proposed budget of $55.300 million in RY1, $57.319 million in RY2, and $59.201 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. SMIP disagrees with the pace of the Company's vehicle fleet electrification plans. According to SMIP, the Company's electrification plans are far ahead of state goals and requirements, which are some of the most aggressive in the nation.

Q. How did Staff develop its proposed capital budget for this

project?

A. Staff claims that the Company's historical cost data and forecasts are volatile and unreliable. On that basis, Staff developed its own proposed budget using an 11% year-over-year growth rate based on the Company's annual capital spend for its Vehicle Replacement program in 2023 and 2024. Staff applied this growth rate to the Company's EV Charging Expansion program costs for 2023 to extrapolate projected capital costs during the rate years.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. Con Edison's Clean Energy Commitment includes electrifying 80% of its light-duty fleet vehicles by 2030 and 100% by 2035. These goals reflect the Company's commitment to state climate goals established by the Climate Leadership and Community Protection Act ("CLCPA"). Staff's proposed budget, based on 11% Vehicle Replacement growth in 2023 and 2024, does not reflect Con Edison's funding requirements for the EV Charging Expansion program during the rate years. Con Edison's historical Vehicle Replacement spend has been primarily driven by the purchase of internal combustion engine ("ICE") vehicles to meet

operational needs across the Company, as determined by ongoing lifecycle analysis. As such, Con Edison's historical Vehicle Replacement growth rate, primarily driven by the purchase of ICE vehicles, is neither a reasonable nor reliable indicator of the funding needed by the Company to support its EV Charging Expansion program during the rate years. For these reasons, Staff's reliance on Vehicle Replacement growth rate is misplaced and its proposed adjustments should therefore be rejected. Additionally, Con Edison has a total of 859 EVs in its current fleet. The Company will be unable to charge its growing fleet of EVs with the adjustments proposed by Staff.

Q. Why is it important for the Company to scale up and expand deployment of EV charging infrastructure under this program?

A. Deploying EV charging infrastructure is a complex multi-year process, involving long-lead times and requiring coordination between many internal and external stakeholders. Some sites require significant electrical upgrades to support the new EV charging infrastructure, and such upgrades can require significant time and resources to

design and implement. This program will also help the Company minimize vehicle TCO by having the infrastructure in place to replace light-duty vehicles with electrified vehicles at the end of their current lifecycle. Con Edison's funding request under this program will support these needs.

Q. Did Staff recommend any other adjustments to the EV Charging Expansion & Clean Energy Support program?

A. Yes, SMIP proposes to eliminate the Company's O&M funding request of $1.251 million in RY1.

Q. What is the basis for Staff's proposal?

A. According to Staff, the Company has no historical O&M cost data, even though it has already installed EV charging ports. On this basis, Staff recommends elimination of the Company's O&M funding request.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. Staff's adjustment, based on historical O&M costs, does not reflect the developing nature of this program or the Company's O&M funding needs during the rate years. To date, the Company has installed 189 EV charging stations. The Company will incur O&M subscription and

licensing costs for these charging stations in the rate years. Without funding, these charging stations cannot be properly used or adequately maintained, undermining the Company's initial investment. Additionally, in its EV Charging Expansion program white paper, provided in Exhibit SSP-4, the Company explained that it needs O&M funding in the rate years to support implementation of a centralized charger management platform. These requirements are included in the Company's O&M funding request. These funding requirements are also detailed in the Company's response to DPS-25-603, provided in Exhibit SSP-6.

Q. Did Staff recommend any other adjustments to the EV Charging Expansion & Clean Energy Support program?

A. Yes, in testimony, SMIP proposes to eliminate two incremental FTEs requested by the Company to support the EV Charging Expansion program. The Company proposed hiring these two FTEs in RY1. SMIP's testimony does not discuss FTE adjustments in RY2 or RY3. Exhibit SMIP-5, however, appears to show SMIP's proposal to eliminate 8 of 10 FTEs purportedly requested by the Company across the three rate years to support the EV Charging Expansion program.

Q. What is the basis for Staff's recommended adjustment?

A. Staff removed these incremental FTEs to correspond with the downward O&M and capital adjustments to the EV Charging Expansion & Clean Energy Support program.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not, for two reasons.

First, these adjustments do not correspond to the Company's FTE request. As explained in the XM-2 section above, the Company requested a total of five FTEs to support the EV Charging Expansion program, consisting of three Sr. Specialist FTEs and two Auto Mechanic A FTEs.

Second, and more importantly, Con Edison disagrees with SMIP's proposed adjustment, reducing the Company's staffing request to two FTEs. This level of incremental staffing is not sufficient to meet the Company's growing needs under the EV Charging Expansion program. The additional FTEs requested by the Company are needed to support growing activity in numerous areas, including construction oversight, process and procedure development, EV data analysis, reporting, training, benchmarking, change management, customer support, and medium- and heavy-duty fleet planning.

Janitorial Service Contractor Costs

Q. Please describe Staff's adjustments to the Company's funding request for janitorial service contractor costs.

A. SSSP proposes no funding in response to the Company's request for $8.235 million in incremental O&M funding in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. According to Staff, the Company did not provide adequate supporting information to justify its incremental O&M funding request. On this basis, SSSP recommends that the Commission reject the Company's request for $8.235 million in incremental O&M funding in RY1.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Con Edison's janitorial services contracts were recently rebid through a competitive procurement process to ensure the most favorable terms and the most reasonable pricing. This process, completed and finalized in March 2025, resulted in significant overall cost escalation. The primary drivers of these cost increases are Public Service Law § 42-a and the growing impact of organized union labor within the janitorial services sector of southern New York. During the recent rebid process, three of the five contracts were initially awarded to

companies with organized union labor. But in the final week of negotiations, an additional contract shifted to a Company vendor with organized labor. This move towards use of unionized labor has caused the cost of janitorial services to approximately double. Consistent with these trends, the Company's incremental O&M funding request incorporates the assumption that the last remaining contract of the five will soon shift to organized labor. The Company's incremental O&M funding request is necessary to support these janitorial services contracts.

Vendor Management Program

Q. Did Staff make any adjustments that were not discussed in testimony?

A. Yes. Although the Company was not able to find a discussion of its Vendor Management program in Staff testimony, work papers provided by SAP appear to show that Staff recommends funding for two of four incremental FTEs requested by the Company to support this program. The Company had proposed to hire four FTEs, consisting of one Senior Specialist FTE and three Specialist FTEs, all in RY1.

Q. Does the Company agree with Staff's adjustment?

A. No, we do not. In its response to DPS-30-737, provided in Exhibit SSP-6, the Company explained how the scope of the Vendor Management Program has been expanded in recent years to cover additional vendor services, such as cranes and rigging, parking/flagging, and mobile generators. In its response to DPS-30-737, the Company also explained how the Vendor Management Team's services are expected to further expand during the upcoming rate years. As a result, the Company needs the additional FTEs to meet these growing needs and resource challenges.

F. Adjustments to Corporate Affairs

Q. Does Staff recommend any adjustments to the Company's funding requests for Corporate Affairs?

A. Yes, three Staff panels – SSSP, SMIP, and SAP – recommend adjustments to capital and O&M funding request for Corporate Affairs. These adjustments focus in two areas: (1) Clean Energy Collaboration Space project; and (2) Corporate Affairs FTEs. Each is discussed below.

Clean Energy Collaboration Space Project

Q. Please describe Staff's adjustments to the Clean Energy Collaboration Space project.

A. SSSP proposes to eliminate this project.

Q. What is the basis for SSSP's proposal?

A. According to SSSP, the Company did not sufficiently justify the need for this project.

Q. Does the Company agree with SSSP's proposal?

A. No, we do not. The Company believes that this project meets a clear and present need for an accessible, public-facing space to facilitate engagement and education on matters relating to the ongoing Clean Energy transition. New York State has established ambitious policy goals, including: 70% renewable energy by 2030; 40% statewide reduction in greenhouse gas ("GHG") emissions by 2030; 2 million homes converted from fossil fuels to electric by 2030; 185 trillion Btu of end-use energy savings; and with at least 35% of overall benefits accruing to Disadvantaged Communities ("DACs"). These state policy goals are discussed in the Climate Leadership and Community Protection Act ("CLCPA") Final Scoping Plan, issued by the New York State Climate Action Council in December 2022. The proposed Clean Energy Collaboration Space will help facilitate attainment of these goals by creating a dedicated venue for public education, stakeholder engagement, and workforce development on matters related to

the clean energy economy, including impacts and benefits to DACs.

Staff claims that the Company does not identify financial benefits from this project, and that there are no major risks associated with canceling this proposed investment. In the Company's view, this reflects a drastic under-estimation of the importance of public engagement, education, and outreach in the process of achieving the State's clean energy goals. On the topic of stakeholder outreach, the Commission's May 15, 2025 Order Authorizing Non-Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolios for 2026-2030 ("EE Order") states that: "[T]he clean energy transition envisioned by the CLCPA requires educating consumers and service providers about the availability, operation, and benefits of technologies to more efficiently heat and cool New York's buildings" (p. 48). While the EE Order identifies the New York state Energy Research and Development Authority ("NYSERDA") as the primary entity for advancing customer education activities in the state, it notes the importance of effective coordination between NYSERDA and utility-specific program marketing, citing the NYS Clean

Heat Program as an example that should be referenced for future customer outreach efforts. The EE Order also directs NYSERDA to advance outreach and awareness at the local level through Regional Clean Energy Hubs (p. 49). The proposed Clean Energy Collaboration Space presents an opportunity to advance this type of collaboration between the Company, its customers, NYSERDA, and industry stakeholders. For these reasons, SSSP's proposal should be rejected.

Q. Did any other Staff panels recommend adjustments to this project?

A. Yes. SMIP also proposes to eliminate this project.

Q. What is the basis for SMIP's proposal?

A. SMIP contends that there are no identified financial benefits related to the proposed Clean Energy Collaboration Space, nor any major risks associated with canceling the project.

Q. Does the Company agree with SMIP's proposal?

A. No, we do not, for the reasons discussed above.

Corporate Affairs FTEs

Q. Please describe Staff's adjustments to Corporate Affairs FTEs.

A. SAP proposes a reduction to Labor Corporate & Shared Service expense of $0.646 million for electric and $0.193 million for gas based on the timing of several planned hires in Corporate Affairs.

Q. What is the basis for Staff's recommended adjustments?

A. According to Staff, this reduction is based on two adjustments. First, Staff notes that the Company's response to DPS-31-752 indicates that it plans to initiate the hiring process for the eight proposed Manager and Specialist positions in Corporate Affairs during the first quarter of 2027. On this basis, Staff adjusted these eight FTEs out of RY1. Second, Staff notes that the Company's response to DPS-31-752 also indicates that it plans to initiate the hiring process for two proposed Directors and two Senior Specialists in Corporate Affairs during the second quarter of 2026. As such, Staff included an adjustment to reflect hiring of these FTEs later in RY1, consistent with DPS-31-752.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not, for two reasons. First, Staff's proposed adjustments do not correspond to the Company's FTE request.

In its response to DPS-31-752, provided in Exhibit SSP-6, the Company indicated that it plans to initiate the hiring process in the first quarter of 2027 for seven FTEs to support the Government and Regional and Community Affairs group. As noted in the Company's response to DPS-31-752, these seven FTEs specifically include six Specialist FTEs and one Corporate Affairs Manager FTE. Staff's proposed adjustment, however, references eight Specialist and Manager positions. Second, Staff contends that its proposed adjustments are based on the information provided by the Company in response to DPS-31-752. This assertion, however, is not correct. Staff proposes to adjust the hiring dates for two proposed Senior Specialist FTEs in Corporate Affairs. These include one Senior Specialist FTE to manage social media campaigns and one Senior Specialist FTE to manage video campaigns. In its response to DPS-31-752, the Company indicated that it anticipates hiring the Senior Specialist FTE to manage social media campaigns within the first quarter of 2026. On this basis, the Company disagrees with Staff's recommendation to adjust the hiring of this FTE later in RY1.

G. Adjustments to Supply Chain

Q. Does Staff recommend any adjustments to the Company's funding requests for Supply Chain?

A. Yes, Staff recommends adjustments to capital and O&M funding request for Supply Chain. These adjustments focus in four areas: (1) Storeroom Space Optimization project; (2) Third-Party Risk Management ("TPRM") program; (3) Supply Chain Procurement FTEs; and (4) Stores Operations FTEs. Each is discussed below.

Storeroom Space Optimization Project

Q. Please describe Staff's adjustments to the Storeroom Space Optimization project.

A. SSSP recommends a reduced capital budget of $30.086 million in RY1, $29.652 million in RY2, and $21.346 million in RY3, compared to the Company's proposed budget of $45.750 million in RY1, $45.090 million in RY2, and $32.460 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff disagreed with the Company's project budget.

Q. How did Staff develop its proposed budget for this project?

A. Staff noted that the Company provided a fairly complete project budget for the Astoria Warehouse in response to

DPS-45-935. According to Staff, the Company did not provide the same level of information for the additional regional storeroom locations at 110th Street, 16th Street, Third Avenue, Cleveland Street, College Point, Neptune, Staten Island, Eastview, and Van Nest. On this basis, Staff calculated its own budget reflecting removal of these regional warehouse locations from the scope of the project and including various other adjustments.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The regional storeroom locations should not be removed from the scope of this project. The Company has developed detailed cost and budget information for the regional storeroom locations at 110th Street, 16th Street, Third Avenue, Cleveland Street, College Point, Neptune, Staten Island, Eastview, and Van Nest. This information was provided in the Company's response to DPS-45-935-Supp1. On the basis, Staff's recommendation to remove the regional warehouse locations from the scope of the project should be rejected.

TPRM Program

Q. Please describe Staff's adjustments to the TPRM program.

A. SSSP recommends an O&M budget of $2.625 million in each RY, compared to the Company's proposed budget of $3.125 million in each RY. This $0.500 million O&M reduction per RY does not match the $0.626 million downward adjustment per RY reflected in Staff Exhibit SAP-3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff removed the Company's proposed funding requests for the following line items within the TPRM program: (1) Third Party Risk Assessment Automation; (2) TPRM Governance Committee; (3) TPRM Social Media Listening Services; (4) Issues Management and Observations Integrations; and (5) KY3P/WTW. Staff claims that the Company did not provide information to adequately explain and justify these costs.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. The Company's TPRM budget was developed based on current staffing and fully executed contracts with existing vendors whose services are actively in use. The TPRM budget consists of $1.625 million for labor costs and $1.500 million for existing program-related costs. Neither the labor nor the program-related costs represent newly added expenditures.

Supply Chain Procurement FTEs

Q. Please describe Staff's adjustments to Supply Chain Procurement FTEs.

A. SSSP recommends funding for four of seven incremental FTEs requested by the Company in RY1 to support Supply Chain Procurement. These four incremental FTEs consist of three FTEs in the Procurement group and one FTE in the Category Management group, all to be hired in RY1. Staff's adjustment eliminates three incremental FTEs proposed by the Company, including two FTEs in the Category Management group and one FTE in the Corporate Social Responsibility group. The Company proposed hiring these three FTEs in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. According to Staff, the Company's projected workload does not support the need for all seven additional FTEs.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. In its testimony, SSSP agrees that increased contract spending necessitates additional employees in the Direct and Indirect Procurement groups. Without the three additional FTEs, the Company will not be able to deliver the category and supplier engagement strategies needed for

the increased contract spending noted by Staff. For this reason, Staff's proposed adjustments should be rejected.

Stores Operations FTEs

Q. Please describe Staff's adjustments to Stores Operations FTEs.

A. SSSP recommends funding for twelve of thirty-seven incremental FTEs requested by the Company to support Stores Operations. These twelve incremental FTEs are to be hired in RY1. Staff's adjustment eliminates twenty-five incremental FTEs proposed by the Company to support Stores Operations. The Company proposed hiring these 25 FTEs across the rate years, with 15 in RY1, 5 in RY2, and 5 in RY3.

In its update filing, the Company indicated that it is no longer requesting incremental O&M for these additional Stores Operations FTEs, which are funded through clearing costs charged to various capital projects. For this reason, Staff's recommended adjustment is reflected as a capital reduction incorporated in the net plant model.

Q. What is the basis for Staff's recommended adjustments?

A. SSSP provides several general reasons for its proposed adjustments. These reasons include affordability concerns

and Staff's reduced capital expenditure recommendations. Staff also claims that the Company's funding request was not justified or clear.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. The twenty-five incremental FTEs requested by the Company to support Stores Operations in RY1 through RY3 are needed to meet increasing growth in inventory management workload, driven by capital projects across the Company. Without these additional FTEs, Stores Operations will be unable to support the needs of the Company's planned capital projects, resulting in material backorders and delays. Additionally, as explained in Con Edison's update testimony and exhibits, the Company is not requesting incremental O&M funding to support these additional FTEs, which are funded through clearing costs charged to various capital projects. Thus, if the Company's planned capital work is funded, all twenty-five of the additional FTEs proposed for RY1 through RY3 should also be allowed.

H. Adjustments to Research & Development

Q. Does Staff recommend any adjustments to the Company's

funding requests for Research & Development ("R&D")?

A. Yes, Staff recommends adjustments to the O&M funding request for the GTI Energy Utilization Technology Development ("UTD") Research Collaborative proposed by R&D.

GTI UTD Research Collaborative

Q. Please describe Staff's adjustments to the GTI UTD Research Collaborative.

A. SMIP proposes to eliminate this proposed research collaborative.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic initiative is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this initiative is not funded; and (3) that the Company has not identified any major financial benefits or completed a benefit-cost analysis ("BCA") to determine project cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. The GTI UTD Research Collaborative will provide beneficial opportunities for the Company to explore

technologies with potential to reduce carbon emissions associated with natural gas utilization. These research opportunities are consistent with state climate goals and Pillar 3 of the Company's Clean Energy Commitment – "Reimagine the Gas System." Through this Research Collaborative, the Company will work with GTI Energy and other member companies to develop options for customers to reduce their gas consumption through viable clean energy alternatives. The options and technologies developed through this Research Collaborative can then be evaluated for costs and benefits.

I. Adjustments to Environment, Health & Safety

Q. Does Staff recommend any adjustments to the Company's funding requests for EH&S?

A. Yes, two Staff panels – SSSP and SMIP – recommend capital and O&M adjustments to eight projects and programs for EH&S: (1) Ecological Build with Oysters project; (2) Ecological Build with Tree Canopies project; (3) Living Shoreline project; (4) Sustainability Exhibits project; (5) Disadvantaged Communities Environmental Justice program; (6) Biodiversity for Reliability, Community, and Ecological

Value program; (7) Worker Safety – Heat Mitigation program; and (8) EH&S FTEs. Each is discussed below.

Ecological Build with Oysters Project

Q. Please describe Staff's adjustments to the Ecological Build with Oysters project.

A. SMIP proposes to eliminate this project entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic project is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this project is not funded; and (3) that the Company has not identified any major financial benefits or completed a BCA to determine project cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. This project will provide several benefits. The proposed oyster reefs will help mitigate the impacts of climate change on Con Edison property, including the effects of rising sea level and increasing storm surge on the Company's infrastructure and systems. In these ways, this project will help support system reliability.

Additionally, the proposed oyster reefs will result in cleaner water and will therefore provide benefits to DACs, as required by the CLCPA. Without this project, these benefits will not be available. A BCA cannot be fully calculated at this time given the emergent nature of this project. To provide meaningful information, such calculations must be informed by experience, which the Company will obtain through this project. The Company's proposed scope of work leverages best available industry knowledge and will be executed with on-going analysis to optimize results.

Ecological Build with Tree Canopies Project

Q. Please describe Staff's adjustments to the Ecological Build with Tree Canopies project.

A. SMIP proposes to eliminate this project entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic project is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this project is not funded; and (3) that the Company has not

identified any major financial benefits or completed a BCA to determine project cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. This project will provide several benefits. The proposed tree plantings will help mitigate the impacts of climate change on Con Edison property, including the effects of warming and erosion on the Company's infrastructure and systems. In these ways, this project will help support system reliability. Additionally, the proposed tree plantings will create greener landscapes with resulting reductions in heat and GHGs. Thus, the proposed tree plantings will provide benefits to DACs, as required by the CLCPA. Moreover, this project will provide an important mechanism for ecology and site restoration following completion of construction work at substations and service centers. Without this project, these benefits will not be available. A BCA cannot be fully calculated at this time given the emergent nature of this project. To provide meaningful information, such calculations must be informed by experience, which the Company will obtain through this project. The Company's proposed scope of work

leverages best available industry knowledge and will be executed with on-going analysis to optimize results.

Living Shoreline Project

Q. Please describe Staff's adjustments to the Living Shoreline project.

A. SMIP proposes to eliminate this project entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic project is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this project is not funded; and (3) that the Company has not identified any major financial benefits or completed a BCA to determine project cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. This project will provide several benefits. The proposed living shorelines will help mitigate the impacts of climate change on Con Edison property, including the effects of rising sea level and increasing storm surge on the Company's infrastructure and systems. In these ways, this project will help support system reliability.

Additionally, the proposed living shorelines will create green landscapes with resulting GHG reductions and will therefore provide benefits to DACs, as required by the CLCPA. Without this project, these benefits will not be available. In its response to DPS-17-438, included in Exhibit SSP-6, the Company provided a copy of Natural and Structural Measures for Shoreline Stabilization and Guidance for Considering the Use of Living Shorelines by the National Oceanic and Atmospheric Administration ("NOAA") and U.S. Army Corps of Engineers (Attachments 1 and 2). These technical articles explain how living shorelines are as effective yet more economical than conventional gray build shorelines. The technical articles also explain how living shorelines provide other important benefits, including longer asset life. Living shorelines also provide other utility-specific advantages, including reduced vibration and loading issues during construction, as compared to conventional gray build designs.

Sustainability Exhibits Project

Q. Please describe Staff's adjustments to the Sustainability Exhibits project.

A. SMIP proposes to eliminate this project entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic project is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this project is not funded; and (3) that the Company has not identified any major financial benefits or completed a BCA to determine project cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. This project will provide employees with important visual and hands-on training materials designed to reinforce key aspects of clean energy technologies and sustainability. These materials will help convey important information to educate employees, driving actions and decisions consistent with the Company's Clean Energy Commitment.

Disadvantaged Communities Environmental Justice Program

Q. Please describe Staff's adjustments to the DAC Environmental Justice Program.

A. SMIP proposes to eliminate this program entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic program is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this program is not funded; and (3) that the Company has not identified any major financial benefits or completed a BCA to determine program cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. As explained in the rebuttal testimony provided by the Company's Clean Energy Transition Panel ("CETP"), the DAC Environmental Justice program provides an important mechanism to: (1) align the Company's process for capital projects and programs with Commission requirements and feedback from Staff and other external stakeholders; (2) incorporate EJ considerations into the Company's planning process for capital projects and programs; and (3) better understand and address the causes of customer energy insecurity. For the reasons discussed by the CETP, the Company disagrees with Staff's proposal to eliminate this program.

Biodiversity for Reliability, Community, and Ecological Value Program

Q. Please describe Staff's adjustments to the Biodiversity for Reliability, Community, and Ecological Value program.

A. SMIP proposes to eliminate this program entirely.

Q. What is the basis for Staff's proposal?

A. Staff claims: (1) that this new strategic program is not required to meet regulatory mandates or for the continued safe and reliable operation of the Company's energy distribution systems; (2) that there would be no immediate negative impact on other projects or programs if this program is not funded; and (3) that the Company has not identified any major financial benefits or completed a BCA to determine program cost-effectiveness.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. The proposed green infrastructure will help mitigate the impacts of climate change on Con Edison property, including the effects of warming and erosion on the Company's infrastructure and systems. For example, the proposed green infrastructure will absorb rainwater and thereby reduce local stormwater flooding that can delay and restrict access at Company properties following heavy

storms. These low-cost investments will also mitigate stormwater runoff, which can erode and degrade soils providing necessary support for Company infrastructure. Additionally, the proposed green infrastructure and rewilding will create greener landscapes with resulting reductions in heat and GHGs. Thus, the proposed green infrastructure will provide benefits to DACs, as required by the CLCPA. Moreover, this program will provide an important mechanism for landscape and site restoration following completion of construction work at substations and service centers. Without this program, these benefits will not be available. In its response to DPS-26-637-Supp1, included in Exhibit SSP-6, the Company provided a BCA for this program using a model developed by the Nature Conservancy, the Green Infrastructure Leadership Exchange, and One Water Econ. This BCA, based on a one-acre model with rain gardens, bioretention, green roofs, trees, and permeable pavement, shows net positive benefits. The Company believes that this program will yield similar net positive benefits.

Q. Did any other Staff panels recommend adjustments to this program?

A. Yes. SSSP proposes to eliminate this program in its entirety, including the Company's capital and O&M funding requests.

Q. What is the basis for SSSP's proposal?

A. According to Staff, the Company has not provided a comprehensive BCA or demonstrated that this program offers adequate value for ratepayers.

Q. Does the Company agree with Staff's proposal?

A. No, we do not, for the reasons discussed above.

Worker Safety – Heat Mitigation Program

Q. Please describe Staff's adjustments to the Worker Safety – Heat Mitigation program.

A. SSSP recommends a reduced capital budget of $0.095 million in RY1, $0.095 million in RY2, and $0.070 million in RY3, compared to the Company's proposed budget of $0.275 million in RY1, $0.275 million in RY2, and $0.250 million in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that the Company's proposed Program Support costs of $0.180 million in 2026, $0.180 million in 2027, and $130,000 in 2028 were unsupported.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. In its response to DPS-43-910-Supp1, provided in Exhibit SSP-6, the Company explained that the Program Support funding is needed for 1.5 temporary contractor FTE resources in RY1-RY3 to support training, specify, procure and distribute equipment, and monitor equipment use and performance. Without the requested capital funding, the Company will be unable to perform these functions, which are necessary for successful implementation of this program.

EH&S FTEs

Q. Please describe Staff's adjustments to EH&S FTEs.

A. SSSP recommends funding for 33 of 44 incremental FTEs requested by the Company to support EH&S. Staff's adjustments involve FTE reductions for four departments within EH&S: (1) Environment & Sustainability; (2) Health & Safety; (3) Program Management; and (4) Office of the EH&S Vice President. Each is discussed below.

Q. Please describe Staff's proposed FTE reductions for Environment & Sustainability.

A. SSSP recommends funding for 10 of 11 incremental FTEs requested by the Company to support Environment & Sustainability. Staff's adjustments eliminate one Project

Specialist FTE, which the Company proposed to hire in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. These adjustments are based on Staff's proposal to eliminate various Sustainability projects and programs, including the Ecological Build with Oysters project, the Ecological Build with Tree Canopies project, the Living Shoreline project, and the Biodiversity for Reliability, Community, and Ecological Value program.

Q. Does the Company agree with Staff's adjustments?

A. No. The Company does not agree with Staff's proposal to eliminate the above-referenced Sustainability projects and programs. As discussed above, each of these projects and programs will provide important benefits and should therefore be funded. For these reasons, the Project Specialist FTE, which is needed by the Company to support these projects and programs, should not be eliminated.

Q. Please describe Staff's proposed FTE reductions for Health & Safety.

A. SSSP recommends funding for seven of 14 incremental FTEs requested by the Company to support Health & Safety. Staff's adjustments eliminate seven incremental FTEs, including two Project Specialists and five Sr. Specialists.

The Company proposed hiring these seven FTEs as follows:

- One Sr. Specialist in RY1;
- One Project Specialist and two Sr. Specialists in RY2; and
- One Project Specialist and two Sr. Specialists in RY3.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that the Company did not provide adequate justification to demonstrate the need for these FTEs.

Q. Does the Company agree with Staff's adjustments?

A. No, we do not. The Company's white paper, provided in Exhibit SSP-4, includes a detailed list of the Health & Safety department's work requirements including new and expanded activities and safety performance targets. The Company's white paper also explains how these additional FTEs are needed to support safety performance in several key areas, including compliance and customer support; tracking, trending, and reporting; benchmarking; safety equipment review; and EV fleet safety. On this basis, the seven additional FTEs should not be eliminated.

Q. Please describe Staff's proposed FTE reductions for Program Management.

A. SSSP recommends funding for two of four incremental FTEs

requested by the Company to support Program Management. Staff's adjustments eliminate two FTEs, including one Section Manager in Data Analytics and one Manager in Training and Procedure Management. The Company proposed hiring these FTEs in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that the Company did not provide adequate justification to demonstrate the need for these FTEs.

Q. Does the Company agree with Staff's adjustments?

A. No, we do not. The Company's white paper, provided in Exhibit SSP-4, describes the detailed work requirements for the Program Management department, including an increased need for data analytics oversight and quality control, and an increased demand for program support and training. The Company's white paper also explains how these additional FTEs are needed to benchmark with peer utilities and industry groups to identify and implement best practices. On this basis, the two additional FTEs should not be eliminated.

Q. Please describe Staff's proposed FTE reductions for the Office of the EH&S Vice President.

A. SSSP proposes to eliminate the one incremental Manager FTE

requested by the Company to oversee the DAC Environmental Justic program in the Office of the EH&S Vice President. The Company proposed hiring this FTE in RY1.

Q. What is the basis for Staff's proposal?

A. This adjustment is primarily based on Staff's proposal to eliminate the DAC Environmental Justice program. Additionally, Staff contends that the requested FTE is unjustified because (1) the Company has not identified quantifiable customer benefits for customers and (2) the Company is already meeting its annual DAC reporting requirements under its existing rate plans without the additional FTE.

Q. Does the Company agree with Staff's proposal?

A. No. For the reasons discussed by the CETP, the Company disagrees with Staff's proposal to eliminate this program. The Company also disagrees with Staff's proposal to eliminate the one Manager FTE, which is needed to oversee this program and lead the Company's Environmental Justice Working Group and DAC reporting. On this basis, neither the DAC Environmental Justice program nor the Manager FTE should be eliminated.

J. Adjustments to Strategic Planning

Q. Does Staff recommend any adjustments to the Company's funding requests for Strategic Planning?

A. Yes, Staff recommends adjustments to the incremental FTE requests for Strategic Planning.

Strategic Planning FTEs

Q. Please describe Staff's adjustments to Strategic Planning FTEs.

A. SSSP recommends funding for three of five incremental FTEs requested by the Company to support Strategic Planning. Staff's adjustments eliminate two incremental FTEs, which the Company proposed to hire in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that these adjustments are appropriately proportioned to its reduced capital expenditure recommendations, which will decrease some of the Company's immediate workload and need for planning.

Q. Does the Company agree with Staff's recommended adjustments?

A. No, we do not. Staff's proposed adjustments, based on its reduced capital expenditure recommendations, do not adequately reflect the Company's enterprise-wide strategic

planning needs during the rate years. Con Edison's long-range and strategic planning needs, and associated staffing levels, are driven primarily by important industry, market, technology, regulatory, and policy trends, not capital expenditure levels. For example, among other things, the additional FTEs are needed to provide long-range planning to address the growing uncertainty and increased scenario analysis of external market influences and changes in adoption pathways for various technologies related to EVs, Combined Heat and Power, Energy Storage Systems , building electrification, renewables, energy efficiency, demand response, alternative fuels, dispatchable low-emissions resources, nuclear power, microgrids, and decarbonization. The additional FTEs are also needed to address evolving sustainability standards developed by various external stakeholders, including the Sustainability Accounting Standards Board, the Task Force on Climate-related Financial Disclosures, the Edison Electric Institute, and the Global Reporting Initiative. Moreover, the additional FTEs are needed to support and oversee awarded NYSERDA and Federal grants, which will offset customer costs.

Overall, current staffing levels in Strategic Planning are insufficient because work activity and requirements in all three areas – sustainability reporting, long-range planning, and securing/managing grants – are increasing, driven by the increase in Clean Energy work as well as directional changes in the markets served by Con Edison. The Company expects this trend to continue during the rate years. For these reasons, Staff's proposed adjustments, based entirely on its reduced capital expenditure recommendations, are not sufficient to address the Company's Strategic Planning needs and should therefore be rejected.

Q. How will the Company and its customers be impacted if all five requested positions are not filled?

A. The Company will not be able to conduct critical analyses or meet the growing sustainability requirements described in the Strategic Planning white paper, provided in Exhibit SSP-4. As a result, the Company may not be positioned to support key business decisions for the ongoing clean energy transition. This could result in additional costs to customers as near-term plans including capital work may be insufficient or mis-aligned to support long-term customer

needs.

K. Adjustments to Law Department

Q. Does Staff recommend any adjustments to the Company's funding requests for its Law Department?

A. Yes, two Staff panels – SSSP and SMIP – recommend adjustments to the O&M funding request for the Law Department. These adjustments focus in two areas: (1) Business Ethics and Compliance ("BEC") Quality Management System ("QMS") project; and (2) Clean Energy Support Legal Staffing FTEs. Each is discussed below.

BEC QMS Project

Q. Please describe Staff's adjustments to the BEC QMS project.

A. SSSP proposes to eliminate the one incremental FTE requested by the Company to support the establishment of a QMS. The Company proposed hiring this FTE in RY1.

Q. What is the basis for Staff's proposal?

A. Staff claims that the Company's funding request is unjustified because no financial benefits were identified.

Q. Does the Company agree with Staff's proposal?

A. No, we do not. Benchmark studies and reports show that implementing a QMS provides significant benefits. For example, the 2024 American Society for Quality ("ASQ")

Insights on Excellence benchmarking report indicates that quality management drives business risk management, leading to substantial efficiency improvements. Another study undertaken by ASQ, described in an article by ISO Update, shows that companies can expect significant reductions in costs with increases in revenue and profits for every $1 spent on a QMS. Copies of these reports and articles are provided in Exhibit SSP-9.

The Company's QMS will help provide for reduced errors, time savings, and better resource utilization. Con Edison's QMS will also support other ongoing continuous improvement initiatives, such as the Operational Self-Assessment and Business Process Mapping programs, which have already provided significant benefits for the Company. Additionally, the QMS will help the Company enhance and sustain effective compliance with laws and regulations. The requested FTE is needed by the Company to implement the QMS and deliver these benefits.

Clean Energy Support Legal Staffing FTEs

Q. Please describe Staff's adjustments to Clean Energy Support Legal Staffing FTEs.

A. SMIP recommends funding for six of thirteen incremental

FTEs requested by the Company to provide Clean Energy Support within the Law Department. These six incremental FTEs consist of five paralegals and one project manager, all to be hired in RY1. Staff's adjustment eliminates seven incremental attorney FTEs requested by the Company to support Clean Energy legal matters. The Company proposed hiring these seven attorney FTEs in RY1.

Q. What is the basis for Staff's recommended adjustments?

A. Staff claims that its adjustment will maximize affordability for customers while providing reasonable support for the Company to engage in the Commission's various ongoing clean energy proceedings and meet its obligations under the CLCPA.

Q. Does the Company agree with Staff's recommended adjustment?

A. No, we do not. Staff's recommendation to eliminate the seven attorney FTEs requested for Clean Energy Support overlooks the specialized legal expertise that is required to manage the Company's growing portfolio of clean energy initiatives. These initiatives involve complex commercial transactions, including interconnection agreements and construction-related contracts, each involving complex legal and regulatory compliance issues. Additionally,

engagement with diverse external stakeholders including the NYISO, and participation in state and federal regulatory proceedings, demand experienced attorneys who can navigate evolving legal frameworks and ensure the Company meets its obligations under the CLCPA. The Company currently has four transactional attorneys dedicated to Clean Energy Support, with others contributing only part-time or occasionally. This level of attorney staffing is insufficient to manage the increasing volume and complexity of Clean Energy legal work. Staff's proposal to fund only five paralegals and one project manager does not consider that only a small portion of attorney work can be offloaded to these roles, as explained in the Company's response to DPS-46-947. Moreover, relying on external counsel to meet these needs will be more costly and less efficient, and will sacrifice the institutional knowledge provided by the Company's in-house attorneys, which is critical for continuity, strategic alignment, and effective stakeholder engagement.

L. New Proposals

Q. Do any of the parties raise new proposals in their testimony?

A. Yes, the NYCPP provides testimony proposing that the Commission require the Company to perform a property divestment assessment to identify property that is underutilized or not needed for future utility purposes, and which can be sold without impacting service to customers. The NYCPP claims that such properties could be sold by the Company to produce revenue offsets to rate increases and allow for publicly beneficial uses like housing.

Q. Does the Company agree with this proposal?

A. No, we do not. Con Edison has robust processes in place to ensure that its real property portfolio is aligned with the Company's current and future needs. Under these processes, all properties are classified as "Plant in Service," "Property Held for Future Use," or "Non-Utility Property." The Company reviews the list of all properties at least annually to identify any properties that are not needed for future utility purposes. Once confirmed, such properties are marketed for sale by competitive bid. In addition, Con Edison's Corporate Real Estate department actively tracks space utilization at each facility for purposes of optimizing the Company's real estate portfolio. The

Company's existing processes are sufficient for managing its real property portfolio, including properties with underutilized space. On this basis, the City's proposal should be rejected.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.